

Interview Feedback

Brew & Bean Profitability · 2026-10-06 · Overall: adequate

Top improvement

Open with a structure, not a data shopping list. Restate the objective (reverse the margin drop from 24% to 6%), lay out a tailored profit tree (revenue = price × volume; costs = COGS by input, labor, overhead), and state a hypothesis: input costs rose while prices stayed flat. Then ask only for the one or two data points that test it.

Rubric Scores

Problem Structuring

needs work

What went well

Once the candidate offered a structure, it rested on a valid profit tree and made an early, sensible call that the problem sat on the cost side.

"Structurally, I'd start with profit equals revenue minus costs. Revenue's up 15%, so the pressure is almost certainly on the cost side"

What needs work

The candidate asked for data before structuring, and did it again after the interviewer explicitly asked for a structure first.

"Before I frame anything, could I get some data?"

"Sure. Before we structure it, a few more things that'd help me shape it"

The candidate never restated the objective (find the root cause of a drop from 24% to 6% margin and reverse it). The tree stayed generic, with fixed vs. variable costs, rather than tailored coffee-chain buckets such as COGS inputs, labor and occupancy.

"I'd want to split costs into fixed and variable and see which line grew faster than revenue."

The candidate added the price × volume split on the revenue side when asked whether the structure was MECE, but it only appeared after the interviewer's challenge, so the first framework had a missing bucket.

"What it might be missing is that revenue itself breaks into price times volume, and I haven't split that out."

Missed opportunities

Turn 1, the opening response to 'How would you approach this problem?'

A great answer: "Our objective is to explain why margin fell from 24% to 6% while revenue grew 15%, and to restore it. I'd look at three areas. First, revenue: price × volume, ticket size, store count. Second, costs: COGS by input (beans, dairy, packaging, food), labor, and occupancy/overhead. Third, market context: are peers seeing the same squeeze, and do we have pricing power? Since revenue is up, my hypothesis is that unit costs, most likely COGS input inflation, rose faster than prices, so I'd start with the cost lines as a share of revenue."

Quantitative & Analytical Rigor

strong

What went well

The candidate built a margin bridge that fully reconciles, then sanity-checked it in both years.

"So 16 plus 2 equals 18 — that fully accounts for the decline, with COGS being about 89% of it."

"Quick sanity check: 58 plus 22 plus 14 equals 94% of revenue in costs, leaving 6% margin."

The candidate laid out the price-sizing equation before computing, narrated each step accurately in dollars, and drew the business implication.

"To get COGS back to 42% of revenue without cutting costs, we'd need revenue of about \$663M, which is a 38% price increase — too steep."

"A 15% price increase takes revenue to \$552M; COGS stays at \$278M in dollars, so COGS falls to about 50% of revenue."

The candidate correctly derived the volume-loss breakeven and connected it to operating leverage.

"At 15% higher prices, if traffic falls more than roughly 13%, revenue is flat or worse"

What needs work

The blended-inflation check was sound, but the candidate over-claimed what it proved. Matching $42\% \times 1.38 \neq 58\%$ does not rule out mix effects, especially since ticket growth came from more items per visit.

"That matches exactly. So volume and mix aren't contributing — it's pure input inflation passed through untouched."

The 15% scenario was rounded up slightly. $100 - 50.4 - 31.3 = 18.3\%$, not 19%. The gap is immaterial, but state the exact figure.

"That puts margin around 19%."

Missed opportunities

Turn 11, after learning beans are 25% of COGS and up 40%, with other inputs up 37.5%

A great answer: "Beans were 25% of a 42% COGS line, so 10.5 points of revenue. Up 40%, that adds about 4.2 points. The other 31.5 points, up 37.5%, add about 11.8. Beans explain only about a quarter of the 16-point swing, so a bean contract alone can't fix this."

Data & Exhibit Interpretation

strong

What went well

The candidate read the cost lines systematically and isolated COGS as the driver of 16 of the 18 points, with overhead adding 2 and labor flat.

"COGS went 42% to 58% of revenue, that's 16 points of cost increase. Overhead went 12% to 14%, that's 2 more points. Labor flat at 22%."

The candidate looked inside COGS rather than stopping at beans and drew the pricing implication, but the 'broad-based inflation' conclusion rested on the two growth rates being similar; weighting them by beans' 25% share is what proves beans explain only about 4 of the 16 points.

"so it's broad-based input inflation, not one bad bean contract."

"That's really a pricing problem as much as a cost problem."

"Beans up 40%, other inputs up 37.5% — those are pretty close, so it's broad-based input inflation"

The candidate proposed a clear, prioritized next step.

"A split of that COGS line into its components is really what I'd want most here."

Missed opportunities

Turn 11, interpreting bean vs. other input inflation

A great answer: "The rates are similar, but the weights aren't. Beans are only a quarter of COGS, so about 4 of the 16 points. Dairy, packaging and food drive about 12. So procurement has to cover every input, not just beans, and price has to carry the bulk."

Business Judgment & Insight

strong

What went well

The candidate's recommendation of a phased price pass-through on add-ons, paired with contracts to avoid repeated repricing, was commercially sound, but treating those add-ons as inelastic went further than the data supports, since higher items per visit does not show that customers are insensitive to price.

"That changes the approach: phase it, 7–8% now and reassess, pilot in two or three regions against control stores, and pair it with hedging or longer-term bean contracts so we're not re-pricing every six months."

"Third, basket size is already up 10% on items per visit, which suggests customers are engaged, not price-shopping."

The candidate surfaced risks proactively and recognized that fixed costs amplify a traffic drop.

"Risks: volume loss. We don't have elasticity or traffic data, so I'd pilot in a few markets first."

"labor and rent largely don't, so we'd lose operating leverage."

The candidate made the assumptions behind the committed number explicit and testable.

"What has to be true: traffic holds within 3% of baseline, input costs don't rise further this year, and we land at least one renegotiated bean contract in the first half."

What needs work

Data requests were unfocused shopping lists that did not test a stated hypothesis, which signals weak prioritization of what matters commercially.

"could I get the supplier contract terms for coffee beans, the lease renewal schedule across the 200 stores, marketing spend by year, any new product launches in the last two years, the mix of company-owned versus franchised locations, delivery app commission rates"

Missed opportunities

Turn 13, while listing levers

A great answer: "Labor is flat at 22% and overhead is only up 2 points, so I would not pursue broad cost cuts. Those lines are already lean, and cutting them risks the experience. The fix is price plus input procurement."

Creativity & Brainstorming

adequate

What went well

The candidate produced five distinct levers, including a non-obvious one that uses the observed rise in attach rate to steer mix.

"One, reformulate the menu — push mix toward higher-margin items, since basket size is up 10% on items per visit, so people are willing to add on; make the add-ons the high-margin ones."

Sourcing ideas went beyond renegotiation.

"Four, private label or direct-from-origin sourcing on beans."

What needs work

The ideas came as a flat numbered list with no organizing buckets, such as revenue/price vs. procurement vs. operations.

"Beyond pricing, a few levers."

The candidate ranked price above everything else but did not rank the five non-price levers by size or speed.

"That said, a 38% input shock almost certainly needs price to carry most of it."

Missed opportunities

Turn 13, answering 'what else could Brew & Bean do'

A great answer: "I'll group levers into three buckets. Price and mix: targeted increases on specialty SKUs, high-margin add-ons, a lower-cost blend tier. Procurement: multi-year bean contracts, dairy and packaging renegotiation, direct sourcing. Operations: waste and portion control. I'd prioritize price, then dairy/packaging procurement, because together they address most of the 16 points."

Synthesis & Recommendation

adequate

What went well

When pressed, the candidate committed to a single number with explicit conditions and a fallback.

"I'd commit to 14%."

"If any of those break, I'd flag it to the board by mid-year rather than at year end, and the fallback is a second price step in Q3."

What needs work

The candidate led with a clear, committed recommendation backed by sizing, risk and next steps, but went straight to sizing without 2–3 evidence-based reasons (prices flat for two years, inputs up about 38%, labor and overhead stable), which only came out later under the brand objection.

"Recommendation: raise menu prices to pass through input inflation, starting with a targeted increase on high-attach items."

"Next steps: pull elasticity, test a 10–15% increase in two regions, and run a vendor consolidation RFP in parallel."

Missed opportunities

Turn 15, the final recommendation

A great answer: "Raise prices selectively, paired with procurement across all inputs. Three reasons. First, COGS explains 16 of the 18 lost points. Second, inputs rose about 38% while menu prices haven't moved in two years. Third, labor is flat and overhead is up only 2 points, so cost cutting won't close the gap. The key risk is traffic loss, so pilot first. Next steps: elasticity read, regional pilot, dairy/packaging/bean RFP."

Communication & Delivery

adequate

What went well

The candidate used hypothesis-driven phrasing and built on interviewer cues.

"Revenue's up 15%, so the pressure is almost certainly on the cost side"

What needs work

The candidate communicated answer-first with clear signposting in the later stages, but almost every early turn opened or closed with a long data list instead of a top-down point, which made the opening hard to follow.

"Before I frame anything, could I get some data?"

"First, the full cost breakdown — COGS, labor, rent, other — for both years. Second, revenue by location versus total."

"Three points. First, we haven't raised prices in two years while inputs rose nearly 40%"

"Here's the build."

Missed opportunities

Turn 7, when presented with COGS 42%'58% and flat prices

A great answer: "My read is that COGS drives the decline. To confirm it, the one data point I need is the COGS split by input and how each input's cost moved."

Pushback, Composure & Case Leadership

strong

What went well

The candidate held the position against the CEO's timing objection with explicit reasoning, without caving or getting defensive.

| *"I'd push back gently. A pilot doesn't have to mean a year"*

| *"The alternative — a national 15% increase in month one with no elasticity data — is the genuinely slow path if traffic drops and we have to walk it back."*

The candidate updated the plan visibly when the volume assumption was challenged, cutting the increase to a phased 7–8%.

| *"That changes the approach: phase it, 7–8% now and reassess"*

The candidate committed to a number and drove governance and fallback steps.

| *"If any of those break, I'd flag it to the board by mid-year rather than at year end, and the fallback is a second price step in Q3."*

What needs work

Early on, the candidate sidestepped the interviewer's explicit cue to structure before pulling data and asked for more data instead. Case leadership relied on 'do we have that?' rather than on hypotheses.

| *"Sure. Before we structure it, a few more things that'd help me shape it"*

Missed opportunities

Turn 3, after the interviewer said 'Before we pull any data, how would you structure this problem?'

| A great answer: "Fair point, let me structure first and then ask only for what tests my hypothesis."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

How would you like to approach this? Feel free to take a moment to gather your thoughts first.

Candidate · 0:04

Great, thanks. Before I frame anything, could I get some data?

First, the full cost breakdown — COGS, labor, rent, other — for both years. Second, revenue by location versus total. Third, the number of locations two years ago versus today. Fourth, average ticket size. Fifth, transaction volume per store per day. Sixth, employee headcount and average wage. Seventh, customer satisfaction or NPS scores over the period. Eighth, market share versus competitors like Starbucks and local independents.

That should give me a picture of what's moving. Do we have any of those?

Interviewer · 0:08

Okay, a broad data list. I don't have transaction volume per store per day, employee headcount and average wage, customer satisfaction or NPS scores or market share versus competitors. I'll come back to the full cost breakdown for both years, revenue by location versus total, the number of locations two years ago versus today and average ticket size shortly. Before we pull any data, how would you structure this problem? Take a minute if you need it.

Candidate · 0:16

Sure. Before we structure it, a few more things that'd help me shape it — could I get the supplier contract terms for coffee beans, the lease renewal schedule across the 200 stores, marketing spend by year, any new product launches in the last two years, the mix of company-owned versus franchised locations, delivery app commission rates, store-level hours of operation, and any capex on equipment or renovations?

Structurally, I'd start with profit equals revenue minus costs. Revenue's up 15%, so the pressure is almost certainly on the cost side — I'd want to split costs into fixed and variable and see which line grew faster than revenue. Then within that, isolate the biggest mover.

Do we have the supplier contract terms or the marketing spend?

Interviewer · 0:20

Okay, profit as revenue minus costs, with costs split into fixed and variable. I don't have supplier contract terms for coffee beans or marketing spend by year. Is that structure MECE, and what might it be missing?

Candidate · 0:24

I think it's MECE at the top level — revenue and costs cover everything, and fixed versus variable splits costs cleanly. What it might be missing is that revenue itself breaks into price times volume, and I haven't split that out. Also store count growth could be inflating revenue while diluting per-store economics.

To test that, could I get: revenue per store by year, menu price history over the two years, same-store sales growth, the number of new stores opened and when, pre-opening costs per new store, the food versus beverage revenue split, waste and spoilage rates, and the breakdown of other operating expenses?

Do we have menu price history or same-store sales?

Interviewer · 0:27

Okay, you've added price times volume and store count growth. You asked about this earlier: Average revenue per store is \$2.4M a year. COGS is 58% of revenue today, up from 42% two years ago. Menu prices have not changed in two years. I don't have same-store sales growth, the new store opening schedule and pre-opening costs or food versus beverage revenue split and waste rates. I'll come back to the cost breakdown for both years, total annual revenue, the number of stores and average transaction value shortly. With that in front of you, where do you see the margin pressure coming from, and what would you dig into next?

Candidate · 0:32

COGS jumping from 42% to 58% of revenue is a 16-point swing, and margin fell 18 points, so that basically explains the whole decline. Prices flat means it's not a mix-down on the revenue side — it's input cost.

To dig in, could I get: the COGS split into coffee beans, dairy, food, cups and packaging; green coffee commodity prices over the two years; the dairy cost trend; whether we switched suppliers; freight and logistics cost per unit; inventory turnover; shrinkage rates; and whether portion sizes or recipes changed?

A split of that COGS line into its components is really what I'd want most here. Do we have that?

Interviewer · 0:37

Okay, you're isolating COGS as the main driver. Coming back to what you asked for earlier: Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Coffee beans were 25% of COGS two years ago. I don't have green coffee commodity prices or supplier switches, freight cost per unit, inventory turnover, shrinkage rates and recipe changes. I'll come back to the COGS split into coffee beans and other inputs, coffee bean price change over two years and dairy cost trend shortly. You said the 16-point COGS swing basically explains the margin decline. Walk me through how you got from that to the whole 18 points, and what that leaves unexplained.

Candidate · 0:43

Sure. Margin went 24% to 6%, so an 18-point drop. COGS went 42% to 58% of revenue, that's 16 points of cost increase. Overhead went 12% to 14%, that's 2 more points. Labor flat at 22%. So 16 plus 2 equals 18 — that fully accounts for the decline, with COGS being about 89% of it.

Quick sanity check: 58 plus 22 plus 14 equals 94% of revenue in costs, leaving 6% margin. That ties out. Two years ago: 42 plus 22 plus 12 equals 76%, leaving 24%. Consistent.

So nothing's unexplained numerically. What's unexplained is the why inside COGS.

Could I get: the current coffee bean share of COGS, dairy as a share, cup and packaging cost, any new menu items added, waste percentage, vendor count, contract expiration dates, and whether we buy spot or hedged?

Interviewer · 0:46

Okay, the bridge ties out. On what you asked about earlier: Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. I don't have new menu items added, waste percentage, vendor count, contract expiration dates, and spot versus hedged buying. Given what comes back on bean prices and the other inputs, how would you decide whether the COGS increase is a purchasing problem, a menu problem, or something else?

Candidate · 0:51

Beans up 40%, other inputs up 37.5% — those are pretty close, so it's broad-based input inflation, not one bad bean contract. That points away from a purchasing problem specific to one vendor and toward a market-wide cost shock. And since prices haven't moved in two years, we've absorbed all of it. That's really a pricing problem as much as a cost problem.

Quick check: if COGS was 42% and inputs rose roughly 38-40% blended, 42% times 1.38 is about 58%. That matches exactly. So volume and mix aren't contributing — it's pure input inflation passed through untouched.

To separate purchasing from menu, could I get: competitor pricing moves, price elasticity estimates, customer traffic trend, loyalty program penetration, regional cost variation, private-label options, bulk discount tiers, and gross margin by product line?

Interviewer · 0:55

Okay, you're reading it as broad-based input inflation absorbed through flat prices. You asked about this earlier: Total revenue is \$480M a year. 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. I don't have competitor pricing moves, price elasticity, customer traffic trend, loyalty penetration, regional cost variation, private-label options, bulk discount tiers and gross margin by product line. Setting the numbers aside, beyond what we've discussed so far, what else could Brew & Bean do about this margin gap?

Candidate · 1:02

Beyond pricing, a few levers. One, reformulate the menu — push mix toward higher-margin items, since basket size is up 10% on items per visit, so people are willing to add on; make the add-ons the high-margin ones. Two, procurement — consolidate vendors, lock in longer-term contracts or hedge beans rather than buying spot. Three, portion and waste control, which is a quiet few points of COGS. Four, private label or direct-from-origin sourcing on beans. Five, packaging substitution, which is usually the easiest input to swap without the customer noticing.

That said, a 38% input shock almost certainly needs price to carry most of it. Flat prices for two years with inflation this broad means we likely have room.

Could I get: implementation timelines for price changes, franchise agreement constraints, brand positioning research, hedging instrument costs, supplier concentration, SKU count, store manager discretion on ordering, and historical price change response?

Interviewer · 1:05

Okay, a set of margin levers with price carrying most of it. I don't have price change timelines, franchise constraints, brand positioning research, hedging costs, supplier concentration, SKU count, manager ordering discretion and historical price response. Pulling this together, what is your recommendation to the CEO, and how would you size what it recovers?

Candidate · 1:11

Recommendation: raise menu prices to pass through input inflation, starting with a targeted increase on high-attach items.

Sizing: COGS is 58% of \$480M, so \$278M. To get COGS back to 42% of revenue without cutting costs, we'd need revenue of about \$663M, which is a 38% price increase — too steep. So split it. A 15% price increase takes revenue to \$552M; COGS stays at \$278M in dollars, so COGS falls to about 50% of revenue. Labor and overhead at \$173M combined go from 36% to about 31%. That puts margin around 19%. Then procurement and waste work closes some of the rest.

Risks: volume loss. We don't have elasticity or traffic data, so I'd pilot in a few markets first. Competitors face the same input costs, so they're likely raising too.

Next steps: pull elasticity, test a 10–15% increase in two regions, and run a vendor consolidation RFP in parallel.

Interviewer · 1:14

Okay. You assumed volume holds when prices go up 15% and that costs stay flat in dollars. If that fails, what is the biggest risk to this recommendation, and how would it change what you do?

Candidate · 1:20

Biggest risk is that volume drops enough to offset the price gain. At 15% higher prices, if traffic falls more than roughly 13%, revenue is flat or worse — and COGS in dollars falls with volume, but labor and rent largely don't, so we'd lose operating leverage. Fixed costs are about 14% overhead plus a chunk of the 22% labor, so a traffic decline hits margin harder than the model suggests.

The other risk is costs keep climbing — a 38% shock in two years means the trend may not be over, so a one-time 15% could be eaten within a year.

That changes the approach: phase it, 7–8% now and reassess, pilot in two or three regions against control stores, and pair it with hedging or longer-term bean contracts so we're not re-pricing every six months. I'd also lead with price increases on add-on items where attach is already rising, since those look least elastic.

Interviewer · 1:22

Okay. One last thing: the CEO objects that raising prices will hurt the brand. What do you say?

Candidate · 1:28

I'd say the bigger brand risk is doing nothing. At 6% margin we can't invest in stores, training, or bean quality, and that's what actually erodes a specialty brand over time.

Three points. First, we haven't raised prices in two years while inputs rose nearly 40% — we're effectively below market, and competitors facing the same shock are almost certainly moving. Second, the signal matters more than the number: a 7-8% increase on a \$6.80 ticket is about 50 cents, and framing it around sourcing quality is on-brand for specialty coffee rather than against it. Third, basket size is already up 10% on items per visit, which suggests customers are engaged, not price-shopping.

And we test it. Pilot two or three regions against controls, track traffic and NPS, and roll back if it moves.

One thing I'd want before going wide is competitor pricing moves and any historical response to past increases — do we have that?

Interviewer · 1:30

Okay, you've made the case for a phased increase with a pilot. I don't have competitor pricing moves and historical response to past price increases. The CEO still pushes back: he says the board wants to see margin recovery this year, and a phased pilot will be too slow. How do you respond?

Candidate · 1:36

I'd push back gently. A pilot doesn't have to mean a year — we can run two or three regions for six to eight weeks against control stores and have a read by the end of Q1, then roll national. That still lands most of the margin benefit inside this fiscal year.

In parallel, I'd pull the levers that don't need testing at all. Vendor consolidation and longer-term bean contracts, packaging substitution, and portion and waste control can all start immediately. If those move COGS even two or three points, that's \$10–14M

on \$480M, and it buys credibility with the board while the pricing read comes back.

The alternative — a national 15% increase in month one with no elasticity data — is the genuinely slow path if traffic drops and we have to walk it back.

Could I get the board's specific margin target and the fiscal year end date? That would tell me how much runway we actually have.

Interviewer · 1:39

Okay, you've defended the phased plan against the timing objection. I don't have the board's margin target and the fiscal year end date. Without those, the CEO says he'll only back this if you commit to one number: what margin do you tell the board to expect by year end, and what has to be true for you to hit it?

Candidate · 1:46

I'd commit to 14%.

Here's the build. Phase one is a 7-8% price increase rolled national by end of Q1. On \$480M that's roughly \$36M of incremental revenue at essentially no incremental COGS — call it \$516M revenue, COGS flat at \$278M, so COGS drops to about 54% of revenue. Labor and overhead at \$173M fall from 36% to 33.5%. That gets us to roughly 12.5%. Procurement and waste work adding two points of COGS savings gets to about 14%.

What has to be true: traffic holds within 3% of baseline, input costs don't rise further this year, and we land at least one renegotiated bean contract in the first half.

If any of those break, I'd flag it to the board by mid-year rather than at year end, and the fallback is a second price step in Q3.

I'd want the fiscal calendar to pressure-test the phasing, but I'll hold 14%.

Interviewer · 1:47

That's our time. Thanks for working through this with me — your written report will follow.